ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

FINANCIAL STATEMENTS

DECEMBER 31, 2022

Report of Independent Auditors

To management of EnCap Energy Capital Fund XI-C Facilitator, LLC

Opinion

We have audited the accompanying financial statements of EnCap Energy Capital Fund XI-C Facilitator, LLC (the "Company"), which comprise the balance sheet as of December 31, 2022, and the related statements of operations, of changes in members' equity and of cash flows, including the related notes for the year then ended (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2022, and the results of its operations, changes in its members' equity and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but isnot absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable userbased on the financial statements.

PricewaterhouseCoopers LLP, 1000 Louisiana Street, Suite 5800, Houston, Texas 77002-5021
T: (713) 356 4000, www.pwc.com/us

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

March 31, 2023

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

BALANCE SHEET

	December 31, 2022
ASSETS	
Investment in EnCap Energy Fund XI-C, L.P., at fair value	$ 59,121,517
Total assets	$ 59,121,517
LIABILITIES AND MEMBERS' EQUITY	
Current liabilities:	
Due to affiliate	$ 821
Total current liabilities	821
Members' Equity	59,120,696
Total liabilities and members' equity	$ 59,121,517

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF OPERATIONS

	Year ended December 31, 2022
Net investment income allocated from EnCap Energy Fund XI-C, L.P.:	
Investment income	$ 5,099,681
Investment expense	(890,318)
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	4,209,363
Expenses:	
General and administrative	34,869
Total expenses	34,869
Net investment income	4,174,494
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Fund XI-C, L.P.:	
Net realized gain on investments	562,163
Net change in unrealized appreciation on investments	20,030,938
Allocation of unearned carried interest	(5,720,218)
Net realized and unrealized gain on investments allocated from EnCap Energy Fund XI-C, L.P.	14,872,883
Income before provision for income taxes	19,047,377
Provision for income taxes allocated from EnCap Energy Fund XI-C, L.P.	3,926,214
Net income	$ 15,121,163

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF CHANGES IN MEMBERS' EQUITY

	Members' Equity
Balance, December 31, 2021	$ 34,718,148
Contributions	15,884,021
Distributions	(6,602,636)
Net income	15,121,163
Balance, December 31, 2022	$ 59,120,696

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

STATEMENT OF CASH FLOWS

	Year ended December 31, 2022
Cash flows from operating activities:	
Net income	$ 15,121,163
Adjustments to reconcile net income to net cash used for operating activities:	
Purchase of EnCap Energy Fund XI-C, L.P.	(15,884,021)
Proceeds from EnCap Energy Fund XI-C, L.P.	6,644,472
Net investment income allocated from EnCap Energy Fund XI-C, L.P.	(4,209,363)
Realized gain on investment	(562,163)
Change in unrealized appreciation on investment	(20,030,938)
Allocation of unearned carried interest	5,720,218
Provision for income taxes allocated from EnCap Energy Fund XI-C, L.P.	3,926,214
Change in operating assets and liabilities	
Increase (decrease) in due to affiliate	(6,967)
Net cash used for operating activities	(9,281,385)
Cash flows from financing activities:	
Member contributions	15,884,021
Distributions to members	(6,602,636)
Net cash provided by financing activities	9,281,385
Net change in cash	—
Cash, beginning of period	—
Cash, end of period	$ —

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI-C FACILITATOR, LLC

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI-C Facilitator, LLC (the "Company"), a Delaware limited liability company, was formed on November 30, 2017 to provide its members with an opportunity to participate as a limited partner in EnCap Energy Capital Fund XI, L.P. ("Fund XI"), a Texas limited partnership, indirectly through its interest in EnCap Energy Fund XI-C, L.P. ("C Blocker"). C Blocker, a 5.845542% subsidiary of the Company, was formed on December 22, 2016 for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund XI. Fund XI was formed on December 22, 2016 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Company operates pursuant to a limited liability company agreement (the "Company Agreement") dated November 30, 2017, which should be referred to for a complete description of the provisions of the Company. EnCap Equity Fund XI-C Cayman GP, LLC ("Manager"), a Delaware limited liability company, is the manager of the Company and the general partner of Fund XI.

There are 2 investors owning the members' equity interests ("Members") in the Company. The Members' total capital commitments to the Company are $56.8 million. The Members' total outstanding commitments as of December 31, 2022 were approximately $10.5 million. The ratio of total contributed capital to total committed capital is 81.9%.

Through its investment in C Blocker, the Company indirectly invests in all corresponding investments in Fund XI and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund XI partnership agreement. The financial statements of Fund XI, including the Schedule of Investments, are attached to this report and should be read with the Company's financial statements. The Company's funded ownership interest in Fund XI is 0.815234%.

The Company shall be dissolved upon the dissolution of Fund XI, the election of the Members and the Manager or an entry of a judicial decree of dissolution of the Company.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Company is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the Manager to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level

1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of December 31, 2022, the investment in C Blocker is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value (“NAV”) using the practical expedient. Fund XI’s valuation policies are discussed in Note 2 of the Fund XI financial statements attached to this report.

Concentration of Risk

As the Company’s investment in Fund XI is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Company’s control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Company’s financial position, results of operations and cash flows.

Fund XI’s investment program requires a moderate amount of diversification among its portfolio companies. Under Fund XI’s Partnership Agreement, Fund XI may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund XI to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund XI may expose the Company to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund XI in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund XI might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund XI. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I (“Fidelity money market account”), a money market fund which contains investments with weighted average maturities of three months or less. As of December 31, 2022, the Company has no cash in its Fidelity money market account. The Company places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Company's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund XI's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

The Company's financial statements include the Company's allocable share of the provisions for income tax expense and income taxes payable by its subsidiary, C Blocker. In accordance with the FASB guidance "Income Taxes", C Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

Income taxes paid and payable by C Blocker are allocated to the Members based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred.

The Company is taxed as a partnership and is not subject to income taxation, the tax effects of its activities accrue to the Members. The Company's tax returns are subject to examination by federal, state, local, and foreign jurisdictions, where applicable. As of December 31, 2022, the earliest tax year that remains subject to examination under the standard limitation period is 2019. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Company's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Company. To the extent possible under the new rules, the Company's manager may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each Member and former Member with respect to an audited and adjusted return. Although the Company's manager may elect to have the members take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Company during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current Members may bear some or all of the tax liability resulting from such audit adjustment, even if such Members did not own units in the Company during the tax year under audit. If, as a result of any such audit adjustment, the Company is required to make payments of taxes, penalties and interest, the cash available for distribution to the Members might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The Manager is required to determine whether a tax position of the Company is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Company recording a tax liability that would reduce members' capital. Based on the Manager's analysis, there are no material disclosures or adjustments impacting the

Company's financial statements as of December 31, 2022. The Company does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the Manager's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO MEMBERS:

The Company Agreement provides that net income (loss) associated with the Company is allocated 100% to the Members on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the year ended December 31, 2022, the Company reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Company, $41,836 for general and administrative expenses. At December 31, 2022, the Company owed EnCap $821 for general and administrative expenses.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2022, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	8.6%
Expense ratios:	
Expenses	10.0%
Unearned incentive allocation	11.8%
Expenses including unearned incentive allocation ratio	21.8%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	16.8%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	5.9%

The net investment income and expense ratios are calculated for the Members taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the Manager. The expenses ratio includes the investment expenses and income tax provision allocated from C Blocker. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Members' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – CONTINGENCIES:

The Company's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the Manager does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

NOTE 7 – SUBSEQUENT EVENTS:

Through March 31, 2023, the date these financial statements were available for issuance, capital contributions of $1,241,602 were made to the Company by the Members and contributions to Fund XI of

$1,241,602 were made by the Company. Proceeds from Fund XI of $809,177 were received by the Company and capital distributions of $809,177 were made by the Company to the Members.

ENCAP ENERGY CAPITAL FUND XI, L.P.

FINANCIAL STATEMENTS

DECEMBER 31, 2022

Report of Independent Auditors

To the General Partner of EnCap Energy Capital Fund XI, L.P.

Opinion

We have audited the accompanying financial statements of EnCap Energy Capital Fund XI, L.P. (the "Partnership"), which comprise the statement of assets, liabilities and partners' capital, including the schedule of investments, as of December 31, 2022, and the related statements of operations, of changes in partners' capital and of cash flows, including the related notes for the year then ended (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnership as of December 31, 2022, and the results of its operations, changes in its partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnership and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

PricewaterhouseCoopers LLP, 1000 Louisiana Street, Suite 5800, Houston, Texas 77002-5021
T: (713) 356 4000, www.pwc.com/us

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In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnership's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnership's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

March 31, 2023

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		December 31, 2022
ASSETS		
Investments, at fair value (cost $5,086,664,346)	$	8,405,173,633
Cash and cash equivalents		50,338,051
Due from Limited Partners		640,417
Total assets	$	8,456,152,101
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	111,732
Total liabilities		111,732
Partners' capital:		
General Partner		934,296,962
Limited Partners		7,521,743,407
Total partners' capital		8,456,040,369
Total liabilities and partners' capital	$	8,456,152,101

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

SCHEDULE OF INVESTMENTS

DECEMBER 31, 2022

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Silverback Exploration II, LLC	97.2%	$ 155,846,426	$ 174,538,000	2.1%
Enduring Resources IV, LLC	45.2%	271,770,571	323,419,000	3.8%
Black Swan Oil & Gas, LLC	99.5%	497,670,000	1,123,633,000	13.3%
EnCap Minerals Holdings, LLC	3.0%	42,352,177	84,846,540	1.0%
Pegasus Resources Holdings, LLC	96.8%	533,867,338	967,849,460	11.4%
Forge Energy II, LLC	99.7%	265,019,585	441,269,000	5.2%
XCL Resources Holdings, LLC	94.4%	571,525,369	919,309,000	10.9%
Piedra Energy IV, LLC	95.2%	110,476,191	166,852,000	2.0%
Rock River Minerals IV, LP	95.2%	139,047,619	285,988,000	3.4%
Paloma Partners V Holdings, LLC	93.0%	4,650,000	7,745,000	0.1%
Special Opportunities Capital, LLC	100.0%	14,879,893	15,380,000	0.2%
Arbor Renewable Gas Holdings, LLC	45.8%	44,381,003	44,381,003	0.5%
Grayson Mill Holdings II, LLC	66.6%	391,110,301	904,921,000	10.7%
Grenadier Energy Partners III, LLC	98.0%	8,820,000	8,820,000	0.1%
Pegasus Resource Holdings II, LLC	99.1%	165,989,708	238,552,000	2.8%
Verdun Oil Company II LLC	98.0%	361,162,500	981,523,000	11.6%
Sabalo II Holdings, LLC	98.8%	7,906,667	7,906,667	0.1%
Paloma Partners VI Holdings, LLC	98.0%	504,700,000	650,988,000	7.7%
Double Eagle Energy Holdings IV, LLC	77.9%	545,612,009	545,612,009	6.5%
Tumbleweed Royalty IV, LLC	77.9%	198,758,661	198,758,661	2.3%
EFM M6 Holdings, L.P.	4.5%	30,846,254	30,846,254	0.4%
Public equity investment holdings:				
Earthstone Energy Inc.	19,819,820	220,272,074	282,036,039	3.3%
Total investments		$ 5,086,664,346	$ 8,405,173,633	99.4%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF OPERATIONS

	Year ended December 31, 2022
Investment income:	
Interest	$ 530,051
Dividend	625,017,972
Total investment income	625,548,023
Expenses:	
Management fees	104,417,861
General and administrative	3,645,987
Total expenses	108,063,848
Net investment income	517,484,175
Realized and unrealized gain (loss) on investments:	
Net realized gain on investments	68,957,205
Net change in unrealized appreciation on investments	2,457,078,084
Net realized and unrealized gain on investments	2,526,035,289
Net increase in partners' capital resulting from operations	$ 3,043,519,464

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2021	$ 128,393,213	$ 4,151,380,533	$ 4,279,773,746
Capital contributions	58,452,000	1,889,948,000	1,948,400,000
Capital distributions	(24,469,585)	(791,183,256)	(815,652,841)
Net increase in partners' capital resulting from operations	91,305,584	2,952,213,880	3,043,519,464
Incentive allocation	680,615,750	(680,615,750)	—
Partners' capital at December 31, 2022	$ 934,296,962	$ 7,521,743,407	$ 8,456,040,369

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

STATEMENT OF CASH FLOWS

	Year ended December 31, 2022
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 3,043,519,464
Adjustments to reconcile increase in partners' capital resulting from operations to net cash used for operating activities:	
Purchase of investments	(1,833,505,631)
Proceeds from investments	147,740,954
Realized gain on investments	(68,957,205)
Change in unrealized appreciation on investments	(2,457,078,084)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	(499,052)
Increase (decrease) in due to affiliate	13,564
Net cash used for operating activities	(1,168,765,990)
Cash flows from financing activities:	
Contributions from partners	1,948,400,000
Distributions to partners	(815,652,841)
Advances from General Partner	9,600,000
Repayment of advances from General Partner	(9,600,000)
Net cash provided by financing activities	1,132,747,159
Net change in cash and cash equivalents	(36,018,831)
Cash and cash equivalents, beginning of period	86,356,882
Cash and cash equivalents, end of period	$ 50,338,051

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND XI, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund XI, L.P. (the "Partnership"), a Texas limited partnership, was formed on December 22, 2016 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 22, 2016, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund XI GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on November 30, 2017. There are 369 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $208.8 million and $6,752.4 million, respectively. The Partners' total outstanding commitments as of December 31, 2022 were approximately $1,291.1 million. The ratio of total contributed capital to total committed capital is 81.9%. The Partnership has committed $8,185.8 million to portfolio companies, of which $2,947.7 million remains unfunded at December 31, 2022.

EnCap Energy Fund XI-C, L.P. (the "C Feeder") and EnCap Energy Capital Fund XI-D, L.P. (the "D Feeder"), affiliated funds, are investors in the Partnership. The C Feeder's and D Feeder's ownership in the Partnership's capital are 13.946253% and 8.279808%, respectively.

The Partnership shall be dissolved upon the expiration of a 10-year period ending December 22, 2026, unless the Advisory Board or greater than 75% of the Limited Partners agree to extend the Partnership for up to two additional one-year periods in order to permit an orderly liquidation and winding up of the Partnership.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of December 31, 2022.

	Assets at Fair Value as of December 31, 2022			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ —	$ 8,123,137,594	$ 8,123,137,594
Public equity holdings	282,036,039	—	—	282,036,039
	$ 282,036,039	$ —	$ 8,123,137,594	$ 8,405,173,633

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2022. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	Fair Value at December 31, 2022	Valuation Techniques[(1)]	Unobservable Inputs[(2)]	Range of Inputs (Weighted Average)
Investments in Equity of Privately Held Companies	$859,449,594	Precedent transactions	Recent transaction price	N/A
	$7,263,688,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$64.14-$79.40
			NYMEX forward strip gas pricing ($/MMBTU)	$4.22 - $4.50
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20% - 40% (20.7%)
			Risk adjusted PUD reserves	35% - 90% (61.2%)
			Cash flow multiple	6.6x - 17.8x (8.5x)

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the year ended December 31, 2022, purchases of Level 3 investments totaled $1,833,505,631. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the year ended December 31, 2022, Special Opportunities Capital, LLC, valued at $74,531,000, was transferred from level 2 to level 3 of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of December 31, 2022, the Partnership has cash in its Fidelity money market account of $27,666,854. The Partnership places its cash and cash equivalents with financial institutions, and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2022, the earliest tax year that remains subject to examination under the standard limitation period is 2019. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of December 31, 2022. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Year ended December 31, 2022	
	Contributions	Proceeds
Private equity investment holdings:		
Silverback Exploration II, LLC	$ 93,069,000	$ —
Black Swan Oil & Gas, LLC	46,915,902	—
XCL Resources Holdings, LLC	35,762,821	—
Piedra Energy IV, LLC	109,517,262	—
Rock River Minerals IV, LP	6,548	—
EFXI Raisa III HoldCo, LLC	—	572,776
Paloma Partners V Holdings, LLC	—	37,200,000
Special Opportunities Capital, LLC	7,879,893	65,150,795
Arbor Renewable Gas Holdings, LLC	34,771,628	—
Grayson Mill Holdings II, LLC	1,335,996	44,817,383
Grenadier Energy Partners III, LLC	4,410,000	—
Pegasus Resource Holdings II, LLC	94,143,416	—
Verdun Oil Company II LLC	321,962,500	—
Sabalo II Holdings, LLC	4,941,667	—
Paloma Partners VI Holdings, LLC	83,300,000	—
Double Eagle Energy Holdings IV, LLC	545,612,009	—
Tumbleweed Royalty IV, LLC	198,758,661	—
EFM M6 Holdings, L.P.	30,846,254	
Public equity investment holdings:		
Earthstone Energy Inc.	220,272,074	—
	$ 1,833,505,631	$ 147,740,954

During the year ended December 31, 2022, the Partnership received additional sales proceeds from EFXI Raisa III Holdco, LLC of $572,776, resulting in a realized loss of $5,063,842.

During the year ended December 31, 2022, Paloma Partners V Holdings, LLC sold all of its assets and distributed a return of capital of $37,200,000 to the Partnership.

During the year ended December 31, 2022, Special Opportunities Capital, LLC sold a portion of its assets and distributed cash proceeds of $65,150,795 to the Partnership, resulting in a realized gain of $37,913,522.

In March 2022, Grayson Mill Holdings II, LLC sold a portion of its assets and distributed cash proceeds of $44,817,383 to the Partnership, resulting in a realized gain of $41,750,717.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase (decrease) in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the year ended December 31, 2022, net increase in partners' capital resulting from operations allocated to the General Partner and Limited Partners was $771,921,334 and $2,271,598,130, respectively, which includes an unrealized incentive allocation to the General Partner of $680,615,750.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. During the year ended December 31, 2022, the Partnership paid management fees of $104,417,861 to the General Partner.

During the year ended December 31, 2022, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $3,692,590 for general and administrative expenses. At December 31, 2022, the Partnership owed $123,212 to EnCap for general and administrative expenses. During the year ended December 31, 2022, the Partnership was advanced $9,600,000 by EnCap to fund portfolio companies. These advances were repaid to EnCap within the same quarter.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2022, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	8.4%
Expense ratios:	
Operating expenses	1.7%
Unearned incentive allocation	11.3%
Operating expenses and unearned incentive allocation ratio	13.0%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	19.8%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	6.3%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

In May 2022, the Partnership entered into a Guaranty Agreement with Wells Fargo Bank, N.A. ("Wells Fargo") to provide a $75 million guaranty as part of XCL Resources Holdings, LLC's ("XCL") upsized bank facility. This facility, led by Wells Fargo, initially had an aggregate $295 million borrowing base, comprised of a $220 million borrowing base supported by XCL's upstream assets and $75 million supported by the agreement with the Partnership. In December 2022, XCL's borrowing base was revised to $360 million, comprised of a $300 million borrowing base supported by XCL's upstream assets and $60 million supported by the agreement with the Partnership.

NOTE 8 – SUBSEQUENT EVENTS:

Through March 31, 2023, the date these financial statements were available for issuance, capital contributions of $4,569,000 and $147,731,000 were made to the Partnership by the General Partner and Limited Partners, respectively, and contributions to investments of $130,642,225 were made by the Partnership. Proceeds from investments of $75,946,266 were received by the Partnership and capital distributions of $2,977,710 and $96,279,299 were made by the Partnership to the General Partner and Limited Partners, respectively.